

well into the next decade. Indeed, the forecast that “few will want to hear about it” is true to a degree that I hardly imagined when I wrote the above paragraph. As with the bullish opinion expressed in *Elliott Wave Principle*, this attitude will change as the new trend progresses.

The general attitude toward market timing will change as well. Today’s investors have countless “stock pickers,” “bond analyzers” and “portfolio allocators” to choose from, but no market timers. Money managers pooh-pooh market timing almost to a man. Statistics show that in 1994, 2800 equity mutual funds lost money, 400 had some gain, and only 35 had a double digit gain. Even worse, of 3233 bond funds, only 25 had a gain. These results are generated by the people who tell you that market timing is worthless. Obviously, *their* method, which is to “select” stocks and bonds while staying fully invested, offers no advantage or protection whatsoever even in a sideways market, much less a decline. This book is a remedy for the absence of an alternative money management approach.

Why do professionals disdain market timing so? I received some insight in May 1987, three months before the start of the record-breaking 1000-point drop in the Dow. That month, I was invited to participate on a panel of stock market academics, one of whom argued that money managers should never attempt to time the market, but should remain fully invested always. Why? Because timing is difficult, he said. Shouldn’t one investigate ways to prepare for repeats of 1968-1974, when stock averages lost 45%-75%, or 1929-1932 when the averages lost 89%? Don’t worry, came the response. The stock market will always eventually rise to new highs after bear markets.

Needless to say, I do not consider this view a proper investment strategy. It “works” as long as the relevant trend degree is up. Otherwise, this kind of thinking will ruin you. One major problem is that in response to a bear market, the economy slides, jobs become scarce, and people find that they need the money they thought they could leave invested. Few can survive a drawdown of 50%-90% and wait two decades just to get even again. Yes, “90%” and “twenty years,” and I am *not* referring only to the aftermath of 1929. When the Dow fell 42.6% from 1968 to 1974, the average stock, as reflected by the Value Line index, fell 74%. From 1966, the inflation-adjusted Dow fell 75%. During this time, many stocks fell 90% and even 99%. Even using the mildest measure of decline, the Dow Jones Industrial Average, it took until June 1986 for an investor in the DJIA to catch up with someone who bought Treasury bills in February 1966.